Organization (DAO) hack in the early days of Ethereum, for example (http://mng.bz/yrYJ), culminated in the loss of several hundred million dollars, and the recent Parity wallet lockup (https://blog .zeppelin.solutions/on-the-parity-wallet-multisig-hack-405a8c12e8f7) resulted in funds getting locked up by code. The idea of the DAO was to raise cryptocurrency funds from investors through a smart contract and invest them in various instruments decided by the smart contract. In this case, a vulnerability in the smart contract code was exploited to funnel funds into a hacker's account. In the case of the Parity wallet, the accidental deletion of a function resulted in locking up the funds held by a smart contract. The former was a hack, and the latter was a careless accident. An important lesson to learn from these high-profile failures is that smart contracts require meticulous design and testing before deployment. These mishaps further emphasize the importance of following the best practices in the design and development of a smart contract.

2.9 Best practices

Now that you've been introduced to smart contract design and development, and to the features specific to blockchain application development, this is an appropriate time to review some best practices: